Financial Management (MBACCZG521)

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Agenda

- Introductions
- Course objectives/ outcomes
- Textbooks/ Resources
- Evaluation scheme
- Overview of Corporate Finance
- Module 1: Foundations of Financial Management and Valuation

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Module 1: Foundations of Financial Management and Valuation

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Overview of Financial Management

What is Finance?

- Finance is the study of how people and businesses evaluate investments and raise capital to fund them.

Basic Areas of Finance

- Corporate Finance
  - Decisions relating to the efficient management of a firm
- Investment analysis and management
  - Analysis and valuation of financial assets (stocks, bonds, etc.), risk versus return, and asset allocation
- Financial institutions management
  - Management of banks, insurance companies, brokerage houses, etc.
- International or Multinational Finance
  - International perspective; becoming more and more important in the context of globalization

Financial Management

" Financial management is broadly concerned with the acquisition and use of funds by a business firm."

Its scope may be defined in terms of….

1. How large should the firm be and how fast should it grow?
2. What should be the composition of the firm's assets?
3. What should be the mix of the firm's finance?
4. How should the firm analyse, plan, and control its financial affairs?

Why Study Financial Management?

- Knowledge of finance is critical for making good decisions (professional/ personal)

- Finance is an integral part of corporate world
  - Marketing
    - Budgets, marketing financial products (or marketing research)
  - Management
    - Strategic thinking, job performance, profitability

- Financial Goals and Metrics Help Firms Implement Strategy and Track Success

- Example: Tesla made to decision to acquire Twitter, Wall Mart acquired Flipkart

- Such decisions require the expertise of various management disciplines including marketing, accounting, operations management, and finance and not just technology!

- Most key personal decisions require financial knowledge/understanding

- Example: buying a house or car, planning for retirement, children's education, etc.

Interface between Finance and other Functions

Relation to Economics

1. **The Macroeconomic environment defines the setting within which a firm operates:** The Financial Manager must understand the economic framework, and be alert to the consequences of varying levels of economic activity and changes in economic policy.

2. The Microeconomic theory provides the conceptual underpinning for the tools of financial decision making.

Relation to Economics

Macroeconomic Factors	Microeconomic Theories
• Growth rate of the economy • Domestic savings rate • Role of the government in economic affairs • Tax environment • Nature of external economic relationships • Availability of fund to the corporate sector • Rate of inflation • The real rate of interest • Market risk premium • Terms to raise finances	• Principles of managerial analysis • Demand-supply analysis • Production analysis • Cost analysis • Market structures • Pricing polices, etc.

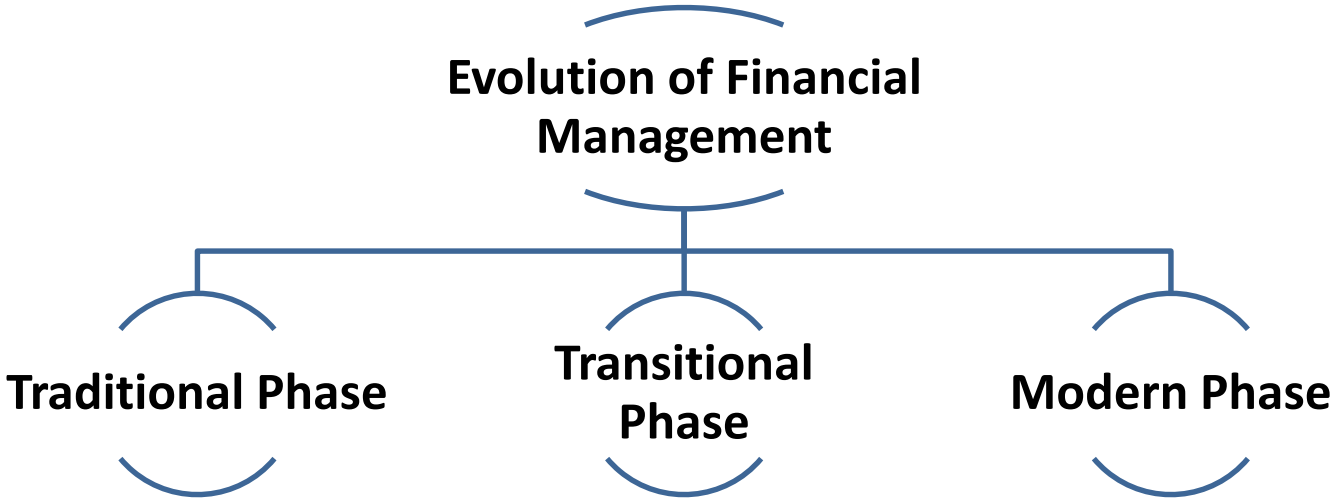
Relation to Accounting

Basic Three Difference between Accounting and Finance

1. Score Keeping Vs. Value Maximizing	2. Accrual Method Vs. Cash Flow Method	3. Certainty Vs. Uncertainty
The **primary objective of accounting** is to measure the performance of the firm, assess its financial condition, and determine the base for tax payment	The **accountant prepares** the accounting reports based on the accrual method which recognises revenues when the sale occurs and matches expenses to sales	**Accounting deals** primarily with the past and records what has happened and hence more objective and certain.
The **principal goal of financial management** is to create shareholder value by investing in positive net present value projects and minimising the cost of finance	The **focus of financial manager**, however, is on cash flows which measures the magnitude, timing and risk of cash flow as these are the fundamentals determinants of values	**Finance is concerned** mainly with the future. It involves decision making under imperfect information and uncertainty. Hence, it is characterised by a high degree of subjectivity.

Evolution of Financial Management

FM emerged as a distinct field of study at the turn of 20th century.



Traditional Phase

Lasted for about four decades.

Important features

- **Focus was mainly on certain episodic events** like formation, issuance of capital, major expansion, merger, reorganisation and liquidation in the life cycle of the firm.
- **Approach was mainly descriptive and institutional**. The instruments of financing, the institution and procedures used in capital markets, and the legal aspects of financial events formed the core of the financial management.
- **The outsider's point of view was dominant**. Financial management was viewed mainly from the point of the investment bankers, lenders, and other outside interests.

Transitional Phase

- Began around the early 40's and continues through the early 50's.

- Similar to the traditional phase but greater emphasis was given on the day-to-day problems faced by finance managers in the areas of
  - **Funds analysis**
  - **Funds planning**
  - **Funds control**

Modern Phase

Began in mid 50's

<u>Distinctive features</u>

- The central concerned of Financial Management is considered to be a rational matching of funds to their uses in the light of appropriate decision criteria.
- Approach has become more analytical and quantitative.
- The point of view of the managerial decision maker has become dominant.

Financial Management Decisions

The Investment Principle

- **Long-term Assets Decision** i.e. Capital Budgeting Decision or Capital Expenditure Decision. Eg. Plant and Machinery, Land, Building, etc.
- **Short –term Assets Decision**: Working Capital Decision Eg. inventory, trade receivables, cash, etc.
- **Risk and Return Trade-off**

The Financing Principle

- **Capital Structure or Leverage Decision**: Proportion of Debt and Equity in capital structure.
- **Risk and Return Trade-off**

The Dividend Principle

- **Dividend Policy Decision:** Distribution of profits to equity shareholders
- **Alternative to the Dividend Payments:** Bonus shares, stock options, share buyback, etc.

Goal of Financial Management

- The goal of the financial manager must be consistent with the mission of the corporation

- What should be the goal of a modern corporation?
  1. Maximize revenues?
  2. Minimize costs?
  3. Maximize profits?
  4. Maximize shareholder wealth?

- "To achieve sustainable growth, we have established a vision with clear goals: Maximizing return to shareholders while being mindful of our overall responsibilities" (part of Coca-Cola's mission statement)

Continue…

- Invest in projects that yield a return greater **hurdle rate** .
  - The hurdle rate should be higher for riskier projects and reflect the financing mix used - owners' funds (equity) or borrowed money (debt)
  - Return on projects should be measured based on cash flows generated and the timings of these cash flows; they should also consider both positive and negative side-effect of these projects
- Choose a **financing mix** that minimizes the hurdle rate and matches the assets being financed.
- If there are no investments that earn the hurdle rate, return cash to the owners of the firm - shareholders in the form of **reward**
- Objective: **Maximize the Value of the Firm**

Profit Maximization

PROFIT MAXIMIZATION is the traditional approach and the primary objective of financial management. It represents the process or the approach by which profits EPS is increased.

ADVANTAGES

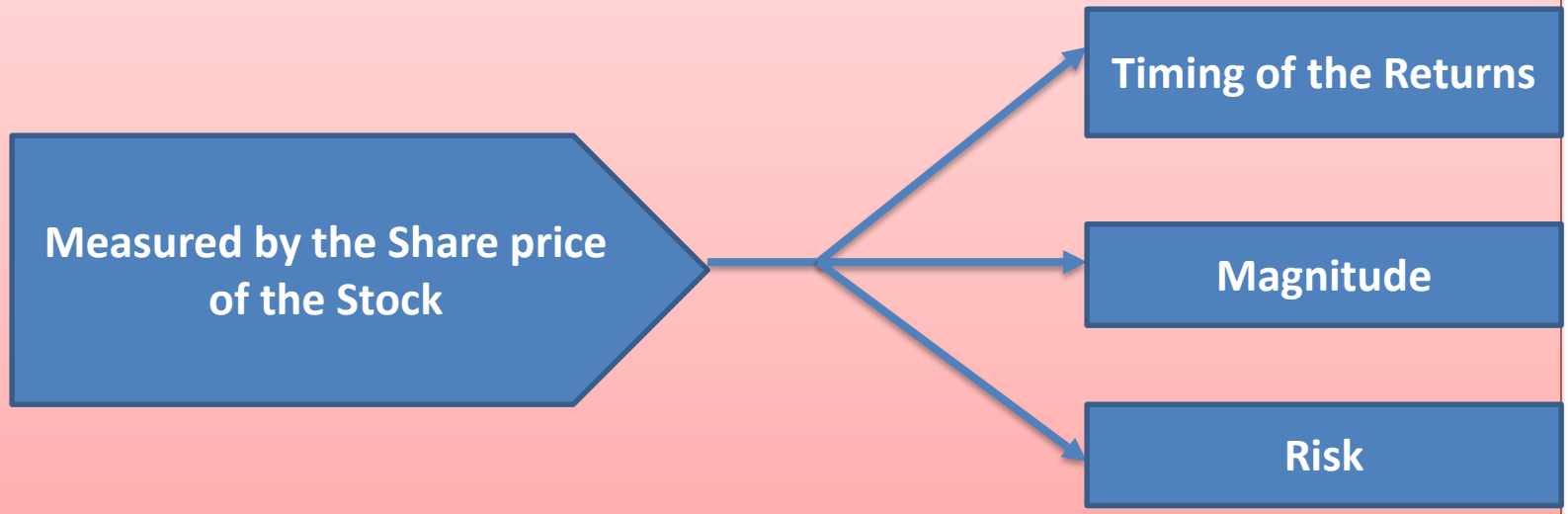
- Economical Survival
- Measurement Standard
- Social Welfare
- Economical Welfare

DIS ADVANTAGES

- Haziness of the concept "Profit"
- Ignores time value of money
- Ignore Risk
- Ignores Quality

Maximizing Shareholder's Wealth

- **The goal of the financial management must be to maximize the wealth of the owners for whom the firm is being managed**



Corporate Mission

- While managers have to cater to all the stakeholders (such as consumers, employees, suppliers etc.), they need to pay particular attention to the owners of the corporation i.e. shareholders.

- If managers fail to pursue shareholder wealth maximization, they will lose the support of investors and lenders. The business may cease to exist and ultimately, the managers will lose their jobs!

WEALTH MAXIMIZATION

Wealth Maximization = Maximization of Shareholder's Wealth

A shareholder holds share in the company/business and his wealth will improve if the share price in the market increases which in turn is a function of net worth.

Wealth = NPV of Financial Decision = PV of Future Cash Flow - Cost

Wealth Maximization Model v/s Profit Maximization Model

- Based on Cash Flow and not on Profits. Profits can be manipulated (by changing assumption, depreciation etc.)
- Profit maximization presents a short term view as compared to Wealth Maximization.
- Timing of return is ignored in Profit maximization
- Considers the risk and uncertainty factor while considering the discounting rate.

EVA = NOPAT – (Capital Employed X WACC)

Sources of Wealth Creation

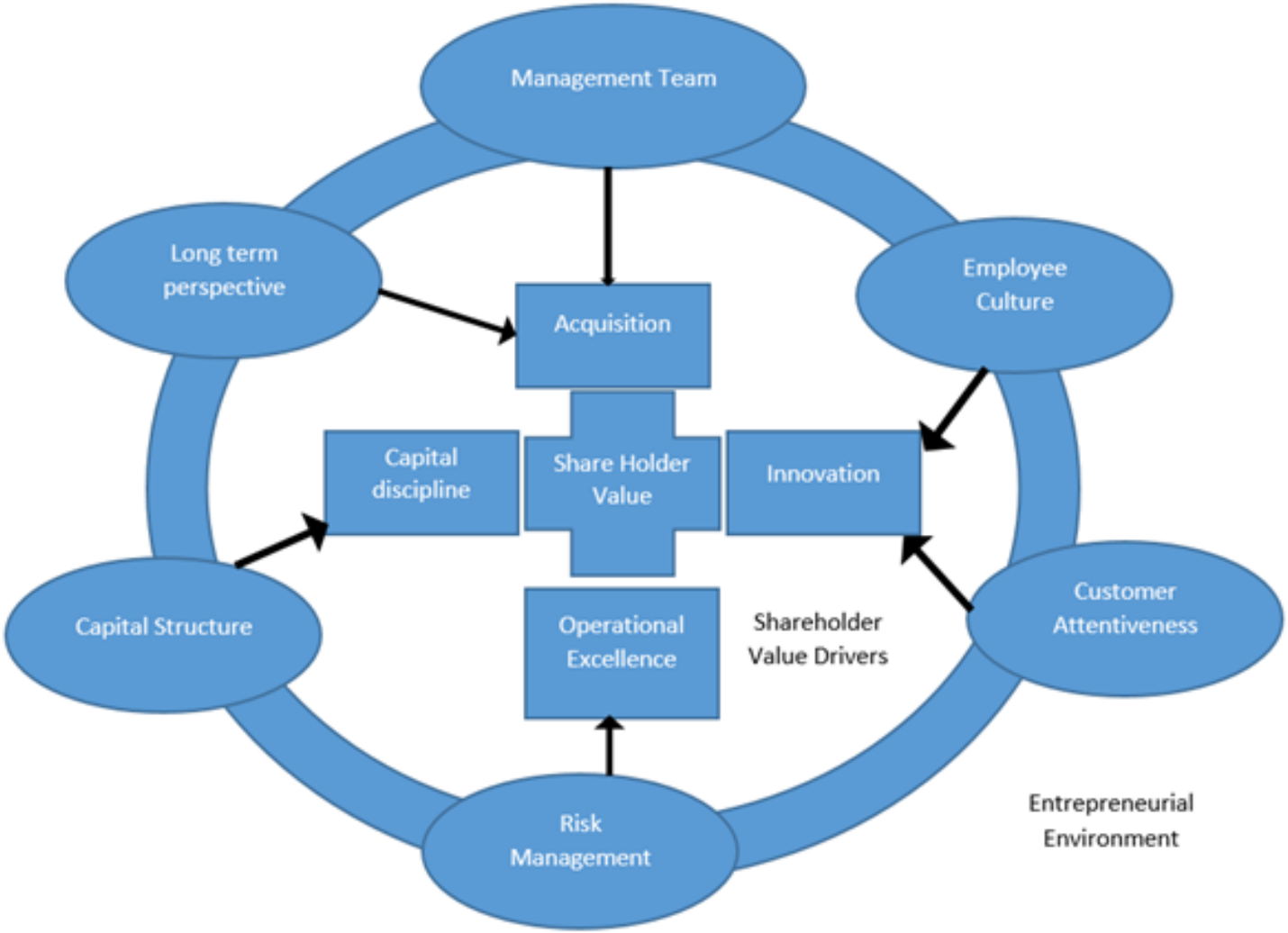
Industry Attractiveness

- ✓ Barrier to competitor's entry
- ✓ Substitutes
- ✓ Bargaining powers of buyers
- ✓ Bargaining power of suppliers
- ✓ Competition among competitors

Competitive Advantage

- ✓ Cost advantage
- ✓ Differentiation Advantage

Wealth Maximization: Internal and External Changes



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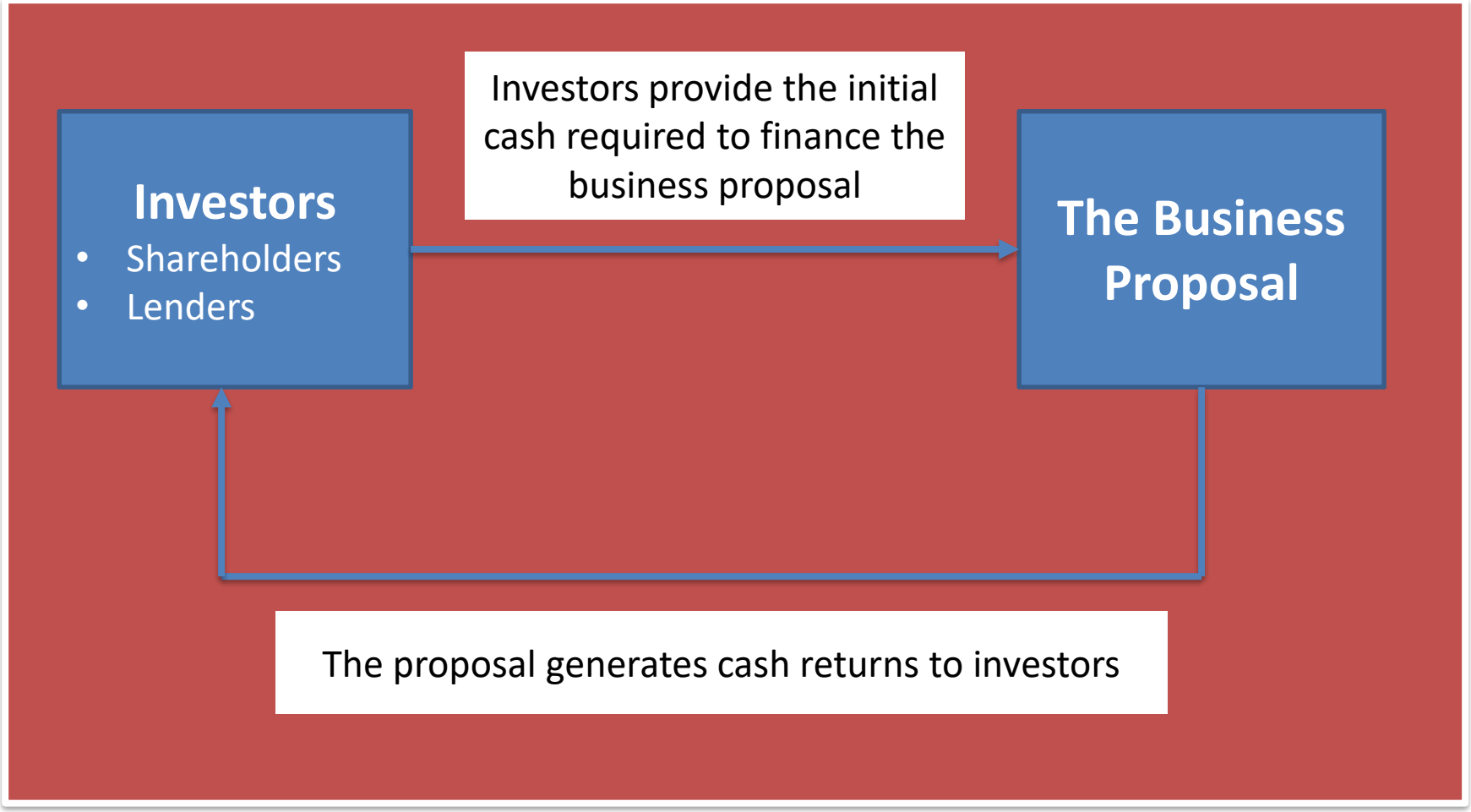
Understanding Indian Financial System

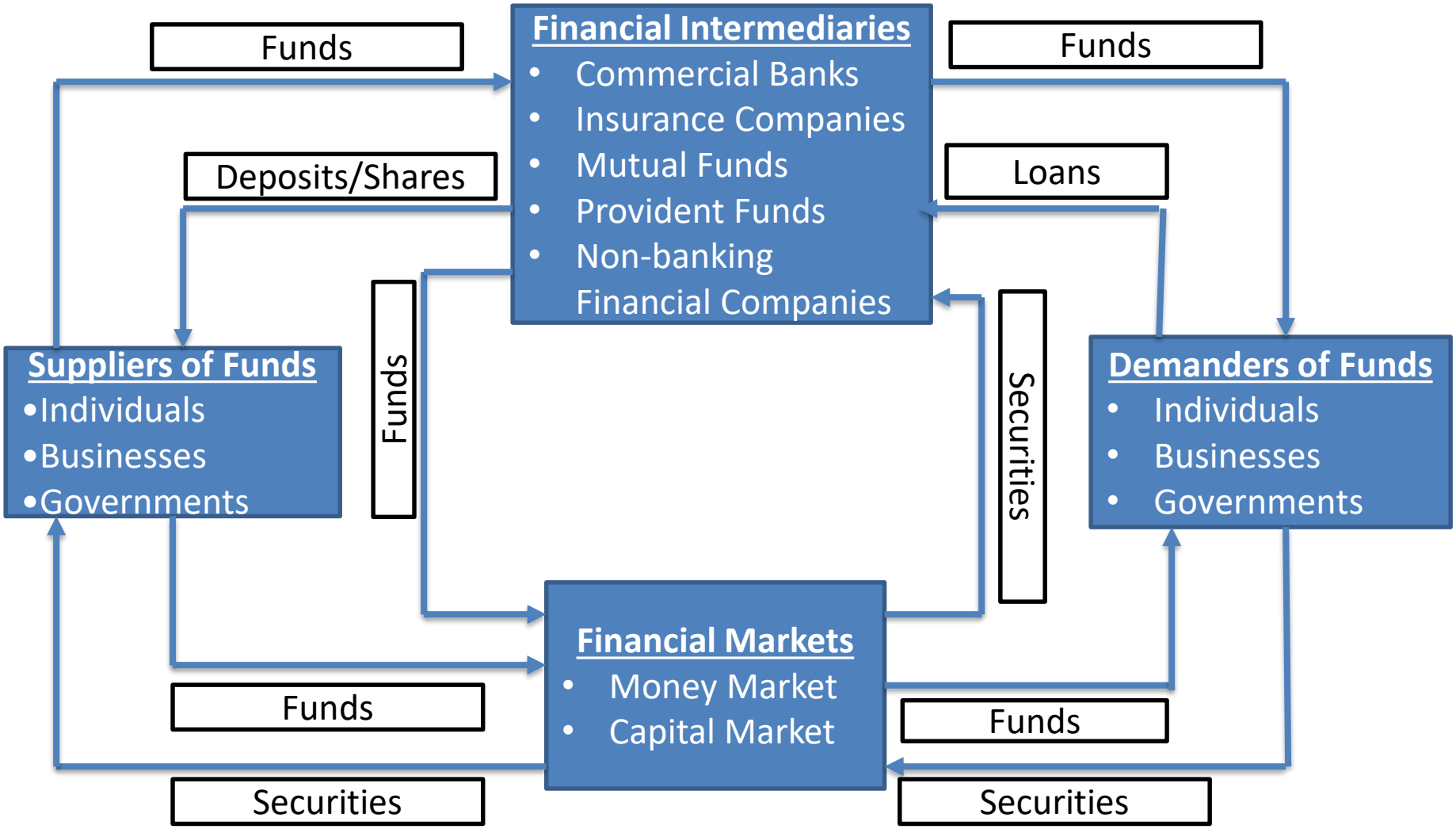
Financial Markets

- The main goal of financial markets is to take the savings from those who do not wish to consume (**savings surplus units**) and to channel them to those who wish to invest more than what they presently have (**saving deficit units**)

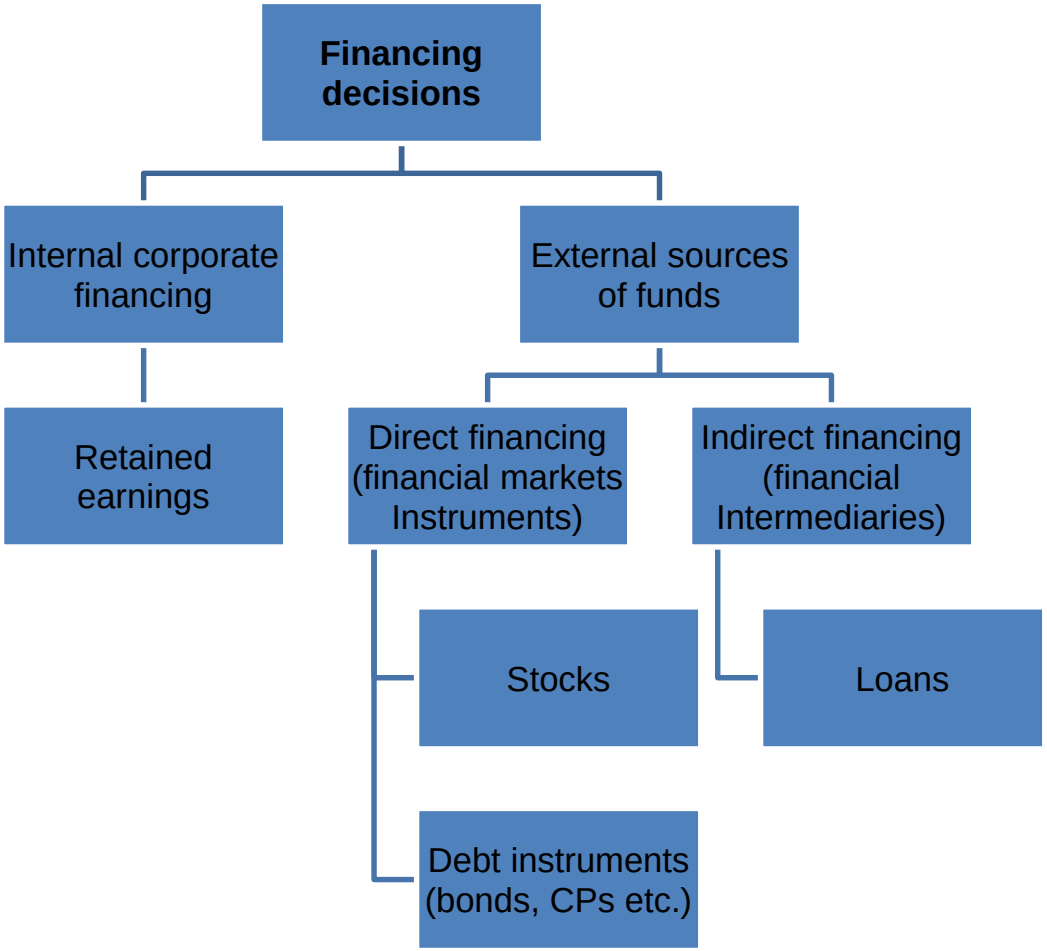
Basic Principle of Financial Management



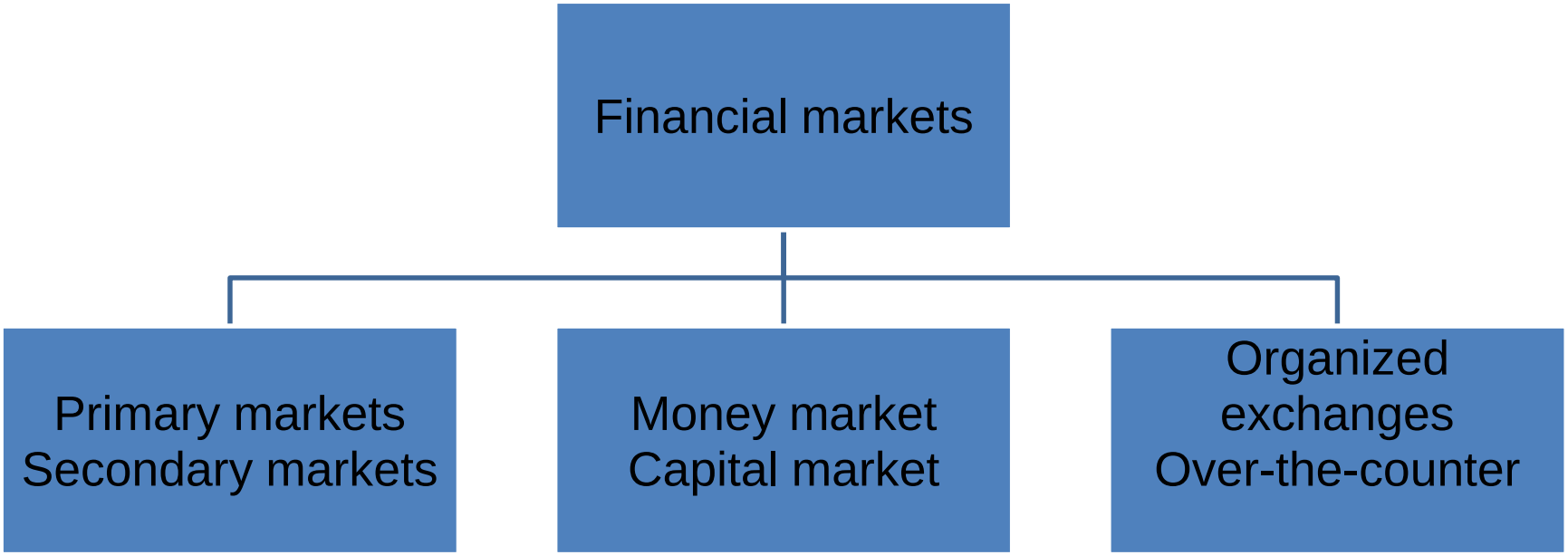
Indian Financial System



Financing Decision



Types of Financial Markets



Primary and Secondary Markets

Primary market – primary issues of securities are sold, allows governments, banks, corporations to raise money by directly selling financial instruments to the public. Such issues are referred as IPO's

Secondary market – allows investors to trade financial securities among themselves. Examples: BSE, NSE, etc.

THANK YOU!!!